

would be intimately related by Fibonacci ratios. An intervening rally for wave (B) might carry to .382 of the value of wave (B) in 1980 at \$275 (or up to \$20 higher, as suggested by the relationship of the \$720.50 level to other turning point values). A rally to that area would also meet tremendous resistance at the 1982 and 1985 lows of \$284.25 - \$296.75. This scenario is depicted on the left side of Figure 17-11.

As an alternative possibility, the components of wave Y might travel .618 of the corresponding components of wave W, creating a duplicate of the entire structure multiplied by .618. The second most likely possibility, then, is that waves (A), (B) and (C) of Y will cover *distances* of \$232, \$152 and \$262. These lengths will have to be projected (downward, upward and downward) from the high of wave (E) when it occurs. If \$112 is a reliable forecast for the ultimate low, then waves (E), (A), (B) and (C) under this scenario would end at \$454, \$222, \$374 and \$112. These levels will have to be adjusted by the amount that wave (E) ends differently from \$454. This scenario for wave Y is depicted on the right side of Figure 17-11.

TWO IDEAL SCENARIOS FOR WAVE Y IN GOLD

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Figure 17-11